

Micron Technology, Inc.

MU NASDAQ

Buy	\$1016.59 ▲ 6.10%	12M Price Target \$1150.00	52-Week Range \$128.40 – \$1255.00	Market Cap \$1.15T
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MU: HBM Dominance Meets CHIPS Act Tailwind, Stock Rips

WHAT HAPPENED

- MU ripped +6.1% Friday on massive volume (35M shares vs ~22M average) — and the options flow tells the story: someone dropped \$53M on \$1000 calls expiring this month. That's a whale betting on a near-term catalyst, likely tied to the 24/7 Wall St. piece framing MU + SK Hynix as "the most valuable spot in the entire compute stack." Translation: Wall Street is finally waking up to the fact that HBM (high-bandwidth memory — the specialized chips that sit next to Nvidia's GPUs) is a duopoly with pricing power.
- The stock is up 256% YTD and sitting at 79% of its 52-week range — this is momentum meeting narrative, not a random pop.

WHY IT MATTERS

Here's what to think about: MU isn't just riding the AI wave, it's structurally short supply of HBM through 2027 — meaning every AI datacenter buildout runs through them, SK Hynix, or Samsung, and Samsung is behind on qualification. That's oligopoly pricing, which is why margins are exploding. The unusual call buying at the \$1000 strike expiring this month suggests smart money expects either a pre-earnings run or a specific catalyst (guidance raise, new hyperscaler contract). The risk of chasing here is real — 256% YTD means a lot of good news is priced in — but the setup where memory becomes as strategically important as logic chips is a multi-year shift, not a quarter.

POLICY & POLITICAL WATCH

Two big policy tailwinds right now: (1) The CHIPS Act is still funneling billions into MU's Idaho and New York fab buildouts — they've received ~\$6.1B in direct grants plus loan guarantees, which subsidizes capex that competitors have to pay for out of pocket. (2) Export controls on advanced chips to China have been tightened again under the current administration, which actually helps MU by kneecapping CXMT (China's domestic memory champion) from catching up on HBM. The risk to watch: any trade deal thaw with China could let CXMT back into the game, and any move to means-test CHIPS Act subsidies (which some in Congress are pushing) could claw back benefits.

IS IT EXPENSIVE?

At ~\$1017, MU trades around 31x forward earnings — meaning investors are paying \$31 for every \$1 of expected profit next year. That's not cheap for a historically cyclical memory company, but it's arguably reasonable if you believe HBM has broken the old boom-bust cycle (which the duopoly structure suggests). Compare to Nvidia at ~35x — MU is cheaper than its biggest customer, which is unusual and interesting.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

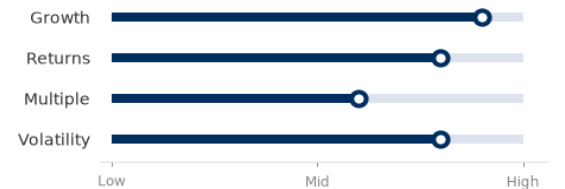
AI-Generated Pre-Market Brief | 2026-09-07 17:58 UTC

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Key Data

Price (USD)	\$1016.59
12M Price Target	\$1150.00
Upside / (Downside)	+13.1%
Market Cap	\$1.15T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$32.50
FY2027E EPS	\$45.00
Fwd P/E	31.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1150.00	\$1050.00	\$900.00
6 Months	\$1300.00	\$1150.00	\$850.00
1 Year	\$1500.00	\$1200.00	\$800.00
2 Years	\$1800.00	\$1400.00	\$700.00
5 Years	\$2500.00	\$1800.00	\$600.00
10 Years	\$4000.00	\$2500.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semis and AI infrastructure — Tech +0.86% over 5 days masks the fact that AI-adjacent names are ripping while software lags. CHIPS Act disbursements + AI capex cycle = tailwind.

COOLING OFF: Real Estate (-1.24% 5D) and Materials (-1.39%) — rate-sensitive and China-exposed names getting hit as tariff talk resurfaces.

ROTATION WATCH: Money is flowing OUT of financials (-0.79% today) and INTO AI hardware — that's a "risk-on but selective" signal, meaning investors want growth but only where the earnings are visible. MU fits perfectly.

RELATED PLAY: If MU works, so do the equipment names that build the fabs — Applied Materials (AMAT), Lam Research (LRCX), and KLA (KLAC) all benefit from the same capex cycle without the memory cyclical risk.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the tip of the spear on AI — every dollar spent on GPUs pulls MU along
- AVGO (Broadcom): Custom AI silicon for hyperscalers, benefiting from the same capex wave
- SK Hynix (Korea-listed): MU's direct HBM duopoly partner, up similarly on the same thesis

MU CONTEXT: MU is leading the memory subgroup and finally getting the "AI infrastructure" premium it deserved — for years it traded like a commodity chip company, now it's re-rating as a strategic asset. That re-rating still has room if HBM4 ramp goes cleanly in 2027.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — the structural HBM story is real, but 256% YTD means I'm not pounding the table at these levels, I'm accumulating on dips.

POSITION SIZE: 3-5% of portfolio — the upside is real but memory cyclical means you never go full YOLO here.

ENTRY POINTS: I'd add on pullbacks to \$930-960 (that's the recent base). If we get a broad market shakeout to \$850, back up the truck.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is HBM4 volume ramp in 2027 and confirmation the duopoly holds through the next capex cycle.

WHEN TO BAIL: If Samsung gets qualified on Nvidia HBM4 at scale, or if hyperscaler capex guidance turns down for 2027, I'm trimming hard. Also out if China retaliation ban hits.

HEDGING: Buy a cheap put spread 15-20% out of the money — costs a small premium but protects you if memory cycle rolls over. Or simply pair with a short in a weaker semi name to isolate the MU-specific thesis.